



THE FINANCE COMMISSION — FULL MIND MAP

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Topics in this chapter:

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1. Constitutional Status, Article 280 & Five-Year Formation

- Finance Commission ek Constitutional body hai. Constitution ka Article 280 President ko Finance Commission constitute karne ka provision deta hai — har fifth year ke end par, ya President ko zaroori lage to usse pehle bhi. [Q1, Q2, Q3, Q4, Q9]
- Source ke hisab se Finance Commission 5-year cycle ke liye constituted hota hai. First Finance Commission 6 April 1952 ko K.C. Neogy ki chairmanship mein set up hua tha. [Q1, Q3, Q10]

2. Composition, Appointment & Qualifications

- Article 280(1): Finance Commission mein 1 Chairman + 4 other members = total 5 members hote hain; appointment President karta hai. [Q12, Q13, Q25]
- Members ki qualifications President decide nahi karta. Source explanation ke mutabik Parliament law ke through qualifications prescribe karta hai — Finance Commission Act, 1951. Chairman aur members ko President appoint karta hai. [Q11]
- Source clarification: kisi member ka High Court/Supreme Court Judge hona compulsory nahi; relevant qualification/experience enough ho sakta hai. Chairman reappointed ho sakta hai; first Chairman K.C. Neogy the, K. Santhanam nahi. [Q12]

3. Core Functions — Tax Devolution & Grants-in-Aid

- Finance Commission ka central exam-point: Union aur States ke beech net proceeds of taxes ka distribution recommend karna, aur States ke beech us distribution ka method/principles suggest karna. [Q5, Q6, Q7, Q8, Q15, Q18, Q19]
- Article 280(3) ke context mein Commission States ko grants-in-aid govern karne wale principles par recommendation deta hai. Isi liye tax-sharing + grants-in-aid dono ko saath yaad rakho. [Q14, Q16]
- Commission State Finance Commission ki recommendations ke basis par State Consolidated Fund ko augment karne ke measures bhi suggest kar sakta hai, including Panchayat resources ko supplement karne ke liye. [Q17, Q27]

4. Finance Commission vs Other Institutions

- Revenue-sharing principles / Centre-State finance distribution = Finance Commission. Inter-State Council coordination-cooperation ke liye hai; source notes Planning Commission ka resource-allocation role tha aur usse NITI Aayog ne replace kiya. [Q7]
- Consolidated Fund of India se withdrawal allow karna Finance Commission ka kaam nahi; source explanation ise Parliament ka function batata hai. Budgetary taxation oversight ko bhi Finance Commission ka core function nahi maana gaya. [Q14]
- Finance Commission apni recommendations President ko deta hai, NITI Aayog ko nahi. [Q13, Q16]

5. Important Chairmen — 12th to 15th Finance Commissions

- 12th Finance Commission: Chairman Dr. C. Rangarajan; recommendations period source mein 2005–2010 diya gaya hai. [Q20]
- 13th Finance Commission: Chairman Vijay Kelkar; source ke mutabik report 2010 mein submit hui. [Q22]
- 14th Finance Commission: Chairman Dr. Y.V. Reddy; source period 2015–2020 aur report submission 15 December 2014 batata hai. [Q23]
- 15th Finance Commission: 27 November 2017 ko Article 280 ke provision ke according constituted; N.K. Singh ko Chairman nominate kiya gaya. [Q24]

6. Article 281 — Recommendations Before Parliament

- Article 281: President Finance Commission ki har recommendation ko Parliament ke each House ke samne laid karwata hai. [Q26]

7. State Finance Commission — Article 243-I

- State Finance Commission bhi Constitutional body hai. Source ke mutabik Governor Article 243-I ke under ise constitute karta hai. [Q27, Q28, Q29]
- Assertion–Reason trap: ‘Union Finance Commission Panchayats ko financial assistance recommend nahi kar sakta’ — source ise false batata hai, kyunki Article 280(3)(bb) State Consolidated Fund ko augment karke Panchayat resources supplement karne ki recommendation allow karta hai. [Q27]

8. Exam Traps — Source-Based Confusions

⚠ EXAM TRAP — Constitutional Body, Statutory Nahi

Q3 mein statement ‘Finance Commission is a statutory body’ galat hai. Source clearly Finance Commission ko Article 280 wala Constitutional body batata hai; recommendations advisory nature ki hain; first Commission 1952 mein set up hua, 1950 mein nahi. [Q3]

⚠ EXAM TRAP — Qualifications vs Appointment

Qualifications Parliament by law prescribe karta hai, jabki Chairman/members ko President appoint karta hai. Dono roles ko mix mat karna. [Q11]

⚠ EXAM TRAP — Total Members & Reappointment

Total 5 members = Chairman + 4. Judge hona compulsory nahi; Chairman reappointed ho sakta hai; first Chairman K.C. Neogy the. [Q12, Q25]

⚠ EXAM TRAP — Old Count Question — Time-Sensitive

Q21 1999 ka question hai. Source explanation ke mutabik present-day options fit nahi karte aur usne 15th Finance Commission tak constitution ka note diya hai. Is item ko source-time-context ke saath hi yaad rakho; ise silently current data se replace nahi kiya gaya. [Q21]